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Research Briefing | France

France - a surprising bright light in the euro-gloom

Economist

Daniela Ordonez
Chief French Economist
+33 (0)1 78 91 50 55

- **Amid the gloom sweeping across the eurozone, France stands out as a surprising beacon of positivity, with recent surveys showing both business and consumer confidence firmly up. This supports our above-consensus forecast for GDP growth of 1.4% in 2019 and 1.5% in 2020, driven mainly by domestic demand.**
- **The French economy is benefiting from five key drivers: easing social tensions, a supportive fiscal stance, rising real incomes, an upbeat outlook for investment, and market interest rates at record lows.**
- **International threats - persistent trade tensions, weakness in Germany's economy, a possible no-deal Brexit - remain downside risks.**

The tide seems to have turned for France. The gilets jaunes crisis that erupted last November added to external uncertainties, undermining both business and consumer confidence. But the government's swift and massive response has pushed cyclical momentum in a more positive direction.

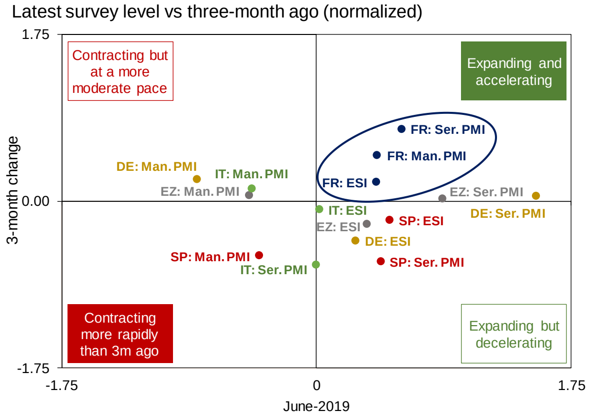
Contrasting with developments in the rest of the eurozone, notably Germany, the latest surveys have been surprisingly positive for France (**Chart 1**). Both the manufacturing and services PMI returned to expansion territory and are strengthening. Similarly, the Economic Sentiment Indicator (ESI) for France is above its long-term average, driven up by stronger consumer sentiment and high confidence in the construction sector (**Chart 1**). This supports our slightly above-consensus forecast of 1.4% in 2019 and 1.5% in 2020.

Several structural challenges remain, such as its unbalanced fiscal position and high debt, lack of competitiveness, mismatches in the labour market, as well as prominent external risks. But we believe five factors support France's economic outlook in the short-term.

France is enjoying positive cyclical momentum

France is in a good cyclical momentum

Latest survey level vs three-month ago (normalized)



Source : Oxford Economics, IHS Markit, European Commission

In contrast with rather gloomy surveys for the eurozone, France stands out, with both industry- and consumer-oriented surveys being positively oriented.

This supports our above-consensus outlook of 1.4% GDP growth in 2019 and 1.5%in 2020.

Contact: Daniela Ordonez | dordonez@oxfordeconomics.com

France standing out in the euro-gloom

Support 1: Easing social tensions

President Emmanuel Macron has weathered the storm of the gilets jaunes crisis that has seen occasionally violent anti-government protests across France (**Chart 2**). The president's approval rate is recovering, while his party *En Marche!* performed better than many expected in last May's European elections. Although some gilets jaunes protestors have continued to turn out every Saturday, participation has tailed off and the demonstrations are no longer degenerating into road-blockades, shop closures or violent confrontations. Overall, [we estimate] that the protests had a minor impact on the economy, lowering GDP growth in both Q4 2018 and Q1 2019 by 0.1ppt at most.

Support 2: Expansionary fiscal stance and a reform agenda overall on track

To pacify the protestors the government [conceded a massive package of measures] aimed at supporting households' purchasing power, and staged a ["great national debate"] with multiple public consultations in Q1. The latter resulted in additional concessions for consumers. Overall, Macron has given a fiscal boost of almost €25bn (1% of GDP) to households, of which 75% represents measures ceded to the gilets jaunes or announced after the great debate. (**Chart 3**). Due to these concessions, France's fiscal policy stance has shifted into expansionary territory for 2019 and 2020, whereas before the protests it was expected to be slightly restrictive given the government's previously strong commitment to reduce the fiscal deficit (**Chart 4**).

The spending promises have also allowed the government to keep its ambitious reform agenda generally on track. To finance the concessions, some planned reductions to the tax burden on businesses have been narrowed or delayed, which could result in lower investment for years to come unless offsetting measures are adopted. But the key reforms have been preserved: the abolition of the wealth tax decried by the gilets jaunes has been maintained, while politically sensitive unemployment insurance and pensions reforms aimed at reducing public spending are currently underway. Even if these reforms trigger new protests, we think they are unlikely to have the scale or impact of the gilets jaunes.

All this has enabled a rapid recovery in [consumer] and [business] confidence, both of which had reached multi-year lows in the past months. As such, France today's stands out as the only country among the major economies in the eurozone enjoying rather positive signals for its economic outlook (**Chart 1**).

Chart 2: The gilets jaunes crisis seems to be subsided

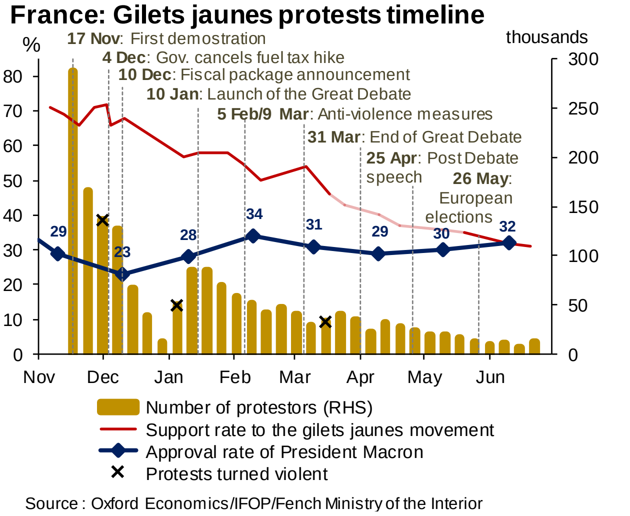


Chart 3: The fiscal boost will push households' incomes to their highest since 2008

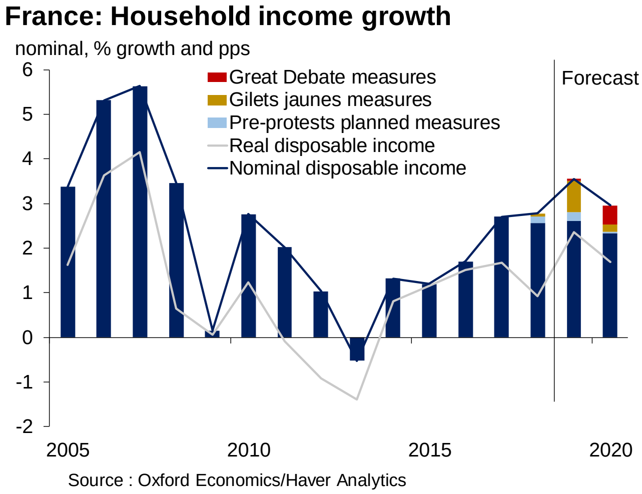
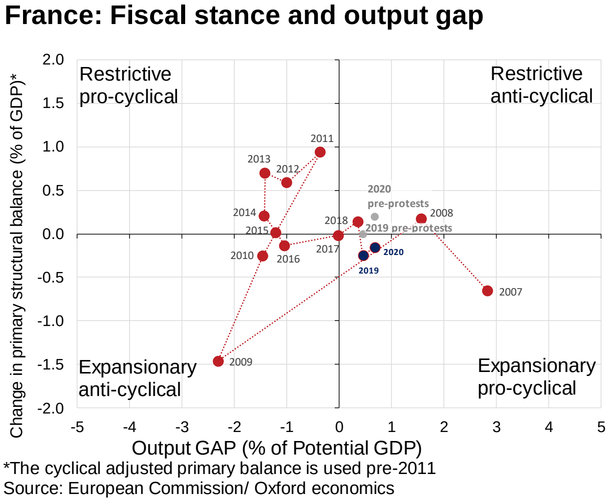


Chart 4: The fiscal stance turned supportive due to the gilets jaunes concessions



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Support 3: Rising real incomes

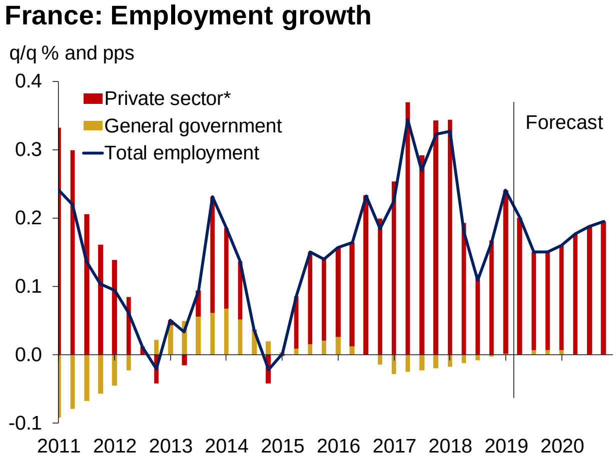
On top of the massive fiscal boost, households are benefiting from a quite benign environment. Wages are accelerating as the labour market remains robust, with companies continuing to report difficulties filling skilled jobs while vacancies remain high. According to the ESI, employment intentions remain elevated even in the manufacturing sector, which limits the risk from external weakness spilling over into domestic demand. Unemployment remains on the downward trend started in 2015, when the rate peaked at 10.2%, and is forecast to continue falling to 8.1% by the end of next year. Employment in the private sector is growing firmly, while the contraction of public employment is now expected to halt following President Emmanuel Macron's formal decision to renege on his campaign promise to cut 120,000 public jobs (**Chart 5**). Some indicators of precariousness are also improving: the share of hiring on permanent contracts continues to rise and around 200,000 people have left underemployment (measured as involuntary part-time work) in the past year.

Overall, real disposable income is expected to expand by more than 2.5% this year, the fastest since 2007, helped also by easing inflation due to lower energy prices and still contained core inflation. The key question is whether households will spend this additional revenue or save it. With consumer confidence rising firmly in the wake of declining social unrest, and the savings rate having recovered greatly, we think that French consumption will begin to accelerate as soon as Q2 and be the mainstay of growth (**Chart 6**). We see consumption growing by 1.4% this year and next, after a feeble 0.8% in 2018. There are even upside risks to this outlook if consumers decide to spend a bigger portion of their disposable income gains.

Support 4: Upbeat business investment

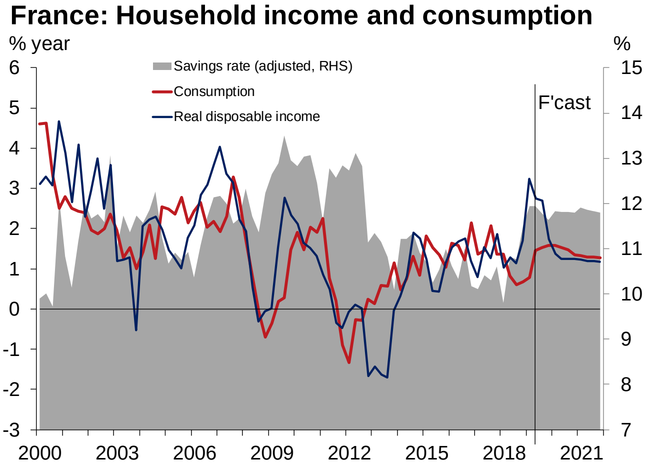
Hits to French business confidence in Q4 and Q1 came from external sources as well as domestic social tensions. However, the impact of these headwinds on the actual level of business investment has been limited overall. Corporate investment contracted in Q4, but this was the result of a drop in vehicle purchases following the introduction of new European emission standards last September, and was followed by a subsequent rebound in Q1.

Chart 5: The labour market remains robust, with private employment growing firmly



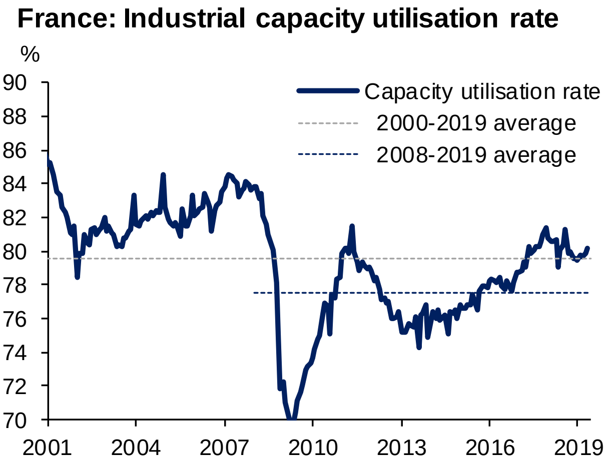
*includes self-employed and non-wage earners
Source : Oxford Economics/Haver Analytics/INSEE

Chart 6: Consumption will accelerate amid rising revenues, high savings and confidence



Source: Oxford Economics

Chart 7: Industrial production is operating close to full capacity



Source : Oxford Economics/Haver Analytics/Banque de France

France standing out in the euro-gloom

Persistent external risks represent a threat to investment plans. But the outlook for business investment is upbeat, notably in the industry, contrasting with developments in Germany and the eurozone. France's lower exposure to external demand combined with the multiple measures put in place by the government to revive the industry explain its idiosyncratic performance. These measures include plans to cut the corporate tax rate from 33.3% in 2019 to 25% in 2022, cuts to employer social contributions, and the creation of a €10bn fund to support innovative companies.

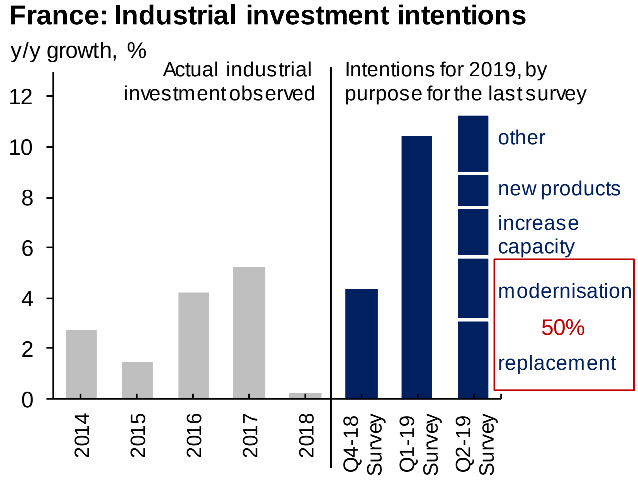
Moreover, in an environment of rising domestic demand, the utilisation rate of industrial productive capacity remains high (**Chart 7**) compared to past standards, indicating investment will be needed to maintain and eventually increase capacity. The proportion of companies reporting not being able to produce more with their existing resources has eased somewhat from the historical peak it reached in Q4 but remains far above its long-term average, as does the number of companies reporting equipment shortages as a major factor limiting production.

Against this background, investment intentions are buoyant, with the latest INSEE survey revealing that business managers plan to increase their industrial investment by as much as 11% this year, compared to 0.3% last year. Replacement and modernisation purposes account for 50% of investment intentions (**Chart 8**). Investment will continue to benefit from eased financial conditions, with strong growth in loans for corporates – notably for investment purposes (**Chart 9**). Interest rates look set to remain contained at historical lows as we now expect the ECB to loosen monetary policy starting with a 10bp cut in the deposit rate, to -0.5%, next September. All in all, private business investment growth is expected to hold steady at 3.2% in 2019 and 2020, driven by investment in machinery and equipment, IT and research and development, thus offsetting soft investment in construction.

Support 5: The markets' blessing

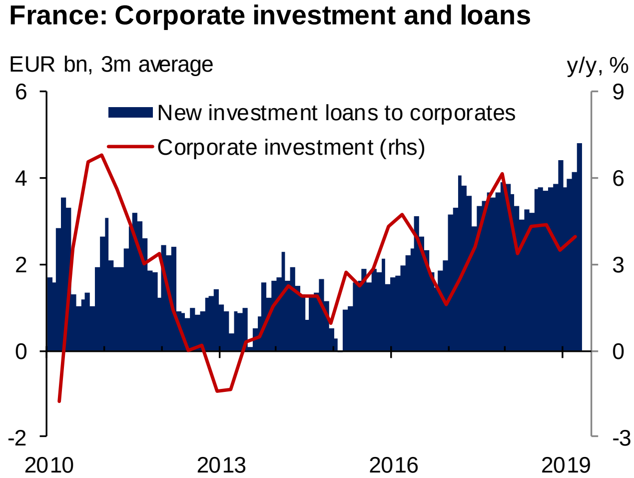
France is also benefitting from falling interest rates. Since the end of June, France's 10-year bond yields have even been negative for the first time in history (**Chart 10**). This means that financing the additional fiscal deficit – that we expect to be 3.3% in 2019 and just below 3% in 2020 – generated by the gilets jaunes concessions should not be problematic. Therefore, we think fiscal sustainability will not be an issue for France, at least in the short-term.

Chart 8: Industrial investment intentions are driven by replacement and modernisation needs



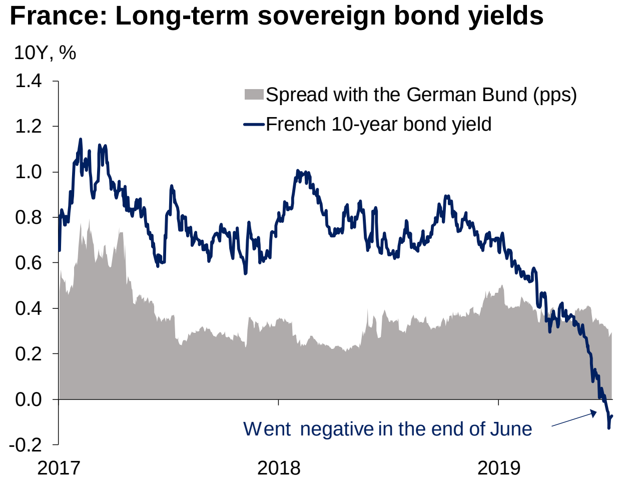
Source : Oxford Economics/Haver Analytics/INSEE

Chart 9: Corporate investment will continue to enjoy supportive financing conditions



Source : Oxford Economics/Haver Analytics/BdF/ INSEE

Chart 10: Financial markets continue to show confidence in French assets



Source : Oxford Economics/Haver Analytics